Risk And Controls

Thresholds Training

Upon completion of this training, you will understand...

- What are thresholds
- How to set a threshold and how to use the threshold setting template
- Threshold evaluation frequency
- Frequently asked questions

PURPOSE OF THRESHOLDS



- Thresholds are designed to allow the Control Owner to perform a focused review in order to detect significant errors / misstatements, both individually and in aggregate.
- Thresholds should give an appropriate amount of coverage of the balance but not result in an unreasonable number of transactions / line items for review.
- All items above the threshold must be reviewed.
- Thresholds can be applied unless the RCM specifically prohibits their use.
- Thresholds must be clearly documented, with the rationale to support.

DESIGNING THRESHOLDS - CONSIDERATIONS

Factors to consider when designing your threshold:

Risk the Control Addresses

- Refers to the risk associated with the control (e.g., cash payments are not appropriately authorized, anomalies in accounts are not reviewed and investigated)

Volume and Nature of Transactions

- Refers to the number and type of transaction (e.g., review of payment which has a high volume of transaction including cash payments, cheque payment (nature of transaction))

Level of Precision

- Refers to the extent of which significant errors / misstatements are detected by reviewing the transactions above the established threshold

THRESHOLD SETTING TEMPLATE

The threshold setting tool template is published on InsideWPP and has been prepared to guide the control owner through the process of setting an appropriate threshold.

Link: WPP Tools and Templates - insideWPP

THRESHOLD SETTING TOOL

Step	Considerations	Opco Notes
1	What is the typical total volume of transactions involved each time the control is performed?	
2	What is the typical range of total monetary value across transactions involved each time the control is performed (e.g. individual transaction value ranges from 10k to 1m)?	
3	Are there up front or other complementary controls addressing the same risk as this control?	*Please select*
3a	If yes, document the control reference here if available.	
4	What is the level of precision required for this control based on control objective, related risk and the existence of upfront controls? Level of precision should be based on: Purpose of the control, Level of aggregation, Consistency of performance, Correlation to relevant risks, Criteria for investigation, and Predictability of expectation. See **RCG Trainings** for additional detail. Upfront controls are controls performed in the process prior to the current control. See **RCG Trainings** for additional detail.	*Please select*
5	What is the desired dollar value of coverage given precision level and existence of upfront controls? Ensure desired coverage is consistent with your determination of precision and risk as described in the prior sections of the template. Desired balance coverage may not be applicable depending on the nature of the control, e.g. if the control covers multiple balances, such as an income statement or balance sheet variance analysis, it would not be applicable.	
6	Are there any additional qualitative considerations? If yes, please detail.	
7	**Define the threshold** (in local currency) A value that should trigger additional review procedures; (i.e. would require control owner to tie the item to supporting documentation or inquire and document cause of variance, etc.). The value should be derived from the above quantitative and qualitative considerations.	

THRESHOLD SETTING TEMPLATE: STEPS 1, 2, 3 AND 3a

The table below shows an extract of the template with explanations / examples on the respective steps.

Step	Considerations	Guidance Notes	Potential impact on threshold
1	What is the typical total volume of transactions involved each time the control is performed?	Volume refers to the total number of transactions for review. The volume of transactions may differ each time the control is performed, thus a representative volume should be used. Examples: Number of payments that need to be approved in a payment instruction file; Number of line items (revenue, direct costs, etc.) that need to be reviewed in an income statement variance review.	High volume, small value items will be below the threshold. E.g., 95% of revenue comes from 15 clients out of a total of 200. The threshold could be set so that only the top 15 clients are reviewed.
2	What is the typical range of total monetary value across transactions involved each time the control is performed (e.g. individual transaction value ranges from 10k to 1m)?	The range of total dollar value of items for review. With regards to monetary value of variances, it should be the sum of the absolute numbers and not the net (i.e., total monetary value of variances 2, -5 and 3 should be 10 and not 0). Example: Total value of payments in payment instruction; Total value of variance in variance analysis file.	The largest values would likely be above the threshold and require review. Are there small items that seem unusually small based on the control objective?
3	Are there upfront or other complementary controls addressing the same risk as this control?	Refers to controls located at the early stage of a process that address the same risk. It is unlikely that there are no upfront controls. Steps 3 and 3a are critical to explain why the Control Owner is comfortable with the un-reviewed items in the control when the threshold is established. Example: Upfront controls for payment approval would be purchase pre-authorization and invoice approvals.	The threshold may be increased if complementary controls address the same risk or reduced if the Control Owner does not wish to place reliance on these controls E.g., due to a recent deficiency.
3a	If yes, document the control reference here if available.		

THRESHOLD SETTING TEMPLATE: STEPS 4 AND 5

Step	Considerations	Guidance Notes
4	What is the level of precision required for this control based on the control objective, related risk and the existence of upfront controls?	Decided by the OpCo Contol Owner. To have a higher precision of the control operating effectively, a threshold would be lowered. Considerations: • Data collected in Steps 1, 2 and 3; • Purpose of the control and the risk being addressed; • Level of aggregation; • Consistency of performance; • Criteria for investigation; and • Predictability of expectation. • Example: If upfront controls identified in Steps 3 and 3a are stronger controls (e.g., transactional instead of detective), Control Owner could have a lower precision when performing the control, resulting in a higher threshold. • Example: Are there any Segregation of Duties conflicts within the control? If so, the precision will need to be higher, resulting in a lower threshold.
5	What is the desired dollar value of coverage given the desired precision level and existence of upfront controls? Ensure desired coverage is consistent with your determination of precision and risk as described in the prior sections of the template.	Based on the volume of transactions and the range of total monetary value across transactions, Control Owner determines the dollar value coverage that needs to be reviewed. <u>For the remaining transactions excluded from the dollar value coverage</u> If the risk of material misstatement arising from these items individually or in aggregate are still significant and not covered by upfront controls identified in step 3 and 3a, Control Owner must either: a) Consider performing a relevant high-level analysis to address the risk of material misstatement over the remaining transactions, or b) Reconsider the dollar value coverage Desired balance coverage may not be appropriate depending on the nature of the control, e.g., income statement variance analysis covers different types of balances such as revenue, cost of goods sold, expenses cost etc., the variances of each balance cannot be added together to give a desired dollar value coverage – each balance should be considered individually.

THRESHOLD SETTING TEMPLATE: STEPS 6 AND 7

Step	Considerations (Threshold Template)	Guidance Notes
6	Are there any additional qualitative considerations? If yes, please detail.	Input qualitative considerations that would further support the proposed threshold, if any. If these are significant and may have an impact on threshold setting, return to step 4 and reconsider whether the precision should be changed. Examples: • New system was implemented and there may be errors in the data migration - lower threshold may be proposed to ensure accuracy. • Projects are small in dollar value and led by separate project teams and the likelihood of material fraud / error is low - a higher threshold may be proposed.
7	Define the threshold (in local currency) A value that should trigger additional review procedures, (i.e., would require control owner to tie the item to supporting documentation or inquire and document cause of variance, etc.). The value should be derived from the above quantitative and qualitative considerations.	Input the proposed threshold which is supported based on the information provided from step 1 to 6. Obtain review and approval as required.

KNOWLEDGE CHECK

True or False:

Thresholds should be set as high as possible, so that control owners can focus their review on a few significant transactions.



All items above the threshold must be reviewed.



The level of precision refers to the extent to which significant errors / misstatements are detected by reviewing the transactions above the established threshold.



EXAMPLE TEMPLATE – ACCOUNTS RECEIVABLE AGING REVIEW

Step	Considerations	OpCo Notes
1	What is the typical total volume of transactions involved each time the control is performed?	*120*
2	What is the typical range of total monetary value across transactions involved each time the control is performed (e.g. individual transaction value ranges from 10k to 1m)?	*Between $5,000 and $200,000, with a large volume of low value balances ranging between $20,000 and $45,000. 15 of the 120 clients make up approximately 75% of the total aged receivables balance and have a value of $125,000 and above. The next 5 highest value clients make up an additional 15% of the aged receivables balance and all have a balance of $75,000 and above .*
3	Are there up front or other complementary controls addressing the same risk as this control?	*Yes*
3a	If yes, document the control reference here if available.	*Client teams and finance meet before the 10th of the month and formally review all open AR aging risk. Individual follow ups with the responsible client teams or directly with the client take place in the following weeks until month end close. This helps ensure that doubtful debts are identified and escalated in a timely manner.* *If an aged amount exceeds 60 days and requires a bad-debt provision, the business team will meet and weigh in on the exposure of collectability. If risk of collectability is HIGH and uncollectable, the CFO will record a full Bad Debt provision. If risk of collectability is Medium or Low, the Finance Director will either record a Bad Debt provision commensurate to the level of exposure of any pending settlements, or make an exception provided their is still confidence the AR will be collected and satisfied 100%*
4	What is the level of precision required for this control based on control objective, related risk and the existence of upfront controls?	*Due to the upfront control identified and the fact that 25 clients make up 90% of the aged receivable balance, a medium level of precision is required.*
5	What is the desired dollar value of coverage given precision level and existence of upfront controls? Ensure desired coverage is consistent with your determination of precision and risk as described in the prior sections of the template.	*The average aged receivables balance at month-end is $2,550,000. 90% of this value is $2,295,000.* *The desired dollar value coverage is therefore $2,295,000*
6	Are there any additional qualitative considerations? If yes, please detail.	*Yes any aged balances that reach 60 days are escalated to the CFO and may be considered for provision at month end close.*
7	Define the threshold (in local currency)	*Threshold = $70,000.* *This threshold has been set as it will cover the 20 largest clients, which in an average month have a balance above $70,000 and account for 90% of the aged receivables balance. The threshold has been set slightly lower than the average of $75,000 to account for any small variances between months.*

EXAMPLE TEMPLATE – MEDIA COMMISSION BASED ARRANGEMENTS

Step	Considerations	OpCo Notes
1	What is the typical total volume of transactions involved each time the control is performed?	*1000 – 2250 Client Invoices and Accruals per month*
2	What is the typical range of total monetary value across transactions involved each time the control is performed (e.g. individual transaction value ranges from 10k to 1m)?	*$100 to $150,000. There is a large volume of low value items below $10,000 which account for 15% of the total balance*
3	Are there up front or other complementary controls addressing the same risk as this control?	*Yes*
3a	If yes, document the control reference here if available.	*The Masterfile check REV35.1 and REV35.2* *MED01.1 provides additional coverage over client media plans*
4	What is the level of precision required for this control based on control objective, related risk and the existence of upfront controls?	*Due to the existence of strong upfront controls which have not had a control deficiency in the past two years, the precision threshold can be lower. Due to the risk associated with media commission based arrangements and a prior deficiency in the operation of this control, a low precision threshold is not considered appropriate. Therefore, a medium precision level will be set.*
5	What is the desired dollar value of coverage given precision level and existence of upfront controls? Ensure desired coverage is consistent with your determination of precision and risk as described in the prior sections of the template.	*Each time the control is performed, 75% of the total balance must be reviewed*
6	Are there any additional qualitative considerations? If yes, please detail.	*No*
7	Define the threshold (in local currency)	*All items above $30,000 must be reviewed. In an average month, this will give 75% coverage of the total balance*

THRESHOLD SAMPLING - REMINDER

Sampling items within a threshold is **not** permitted

THRESHOLD EVALUATION FREQUENCY



Threshold Evaluation

- Thresholds should be evaluated when there are significant changes within the OpCo processes or the population that the threshold is applied to.
- The Control Owner should be aware of relevant criteria in deciding if a threshold needs to be re-evaluated. These criteria should be considered on an as needed basis and Control Owners are advised to use their professional judgement.

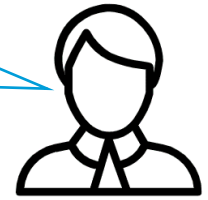


Examples of Significant Changes

- The OpCo has a new revenue stream, and new risks need to be considered when designing the threshold
- Changes in the OpCo vendor or client base (e.g., changed from numerous small-value clients to increasing high-value clients)
- Changes in the average length of contracts or average value of contracts
- Changes in the volume of transactions (e.g., monthly transaction increases from 100 to 250)

THRESHOLD: FREQUENTLY ASKED QUESTIONS

"When reviewing a report, my main concern is item type A as these items are higher risk. By setting a threshold, I am being forced to review low-risk items of type B due to them being within my threshold. Is there a way I can resolve this? "



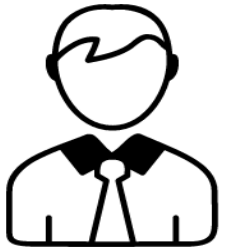
Answer: Separate thresholds could be set for different classes of items in the control, especially if the risks are different

- Using revenue analysis as an example. The Control Owner could set a different threshold for country A and country B. Therefore, items of low risk in country B but of higher value than country A, will not need to be reviewed. The threshold you set should guide you towards items that are of the most importance. If you are reviewing items that you feel are not important, you should review your threshold.

Items	Threshold	Remarks
Revenue	Lower Threshold	The figure may vary and fluctuate from one period to another due to the volume and type of revenue projects taken by OpCo. To address the risk of anomalies not reviewed and investigated, a lower threshold may be used for the review.
Payroll Costs (e.g., staff salaries, staff bonus etc.)	Higher Threshold	The figure should stay relatively constant from one period to another unless there is a significant change (e.g. annual pay rises or bonuses). Therefore, a higher threshold may be used for the review.

THRESHOLD: FREQUENTLY ASKED QUESTIONS

"I require the preparer of a report, to provide me comments on the file for everything above $50K. However, as the control owner, I would like to focus my review on items above $100K. Is this possible? Can the preparer threshold and reviewer/control owner threshold be different?"



Answer: From a control perspective, the threshold for the preparer is not considered. The threshold applied to the Control Owner's activities can be different and is the threshold that must be documented and will be considered by auditors.

- It is acceptable for the preparer and the control owner to have separate thresholds. The **threshold set and used by the control owner** for review needs to be documented with rationale clearly stated and approved by local management. The preparer does not need to document their threshold. The Control Owner must review all items above their threshold



Preparer inputs comments for items above the preparer threshold of $50K

Control owner reviews the file for items above the control threshold of $100K.
- This threshold would be reviewed by auditors.

SUMMARY

- Thresholds should be designed to assist the control owner in performing a risk-based review by reviewing targeted transactions / line items based on the control owner's assessment. If you find yourself reviewing too many items or items that are considered not important, your threshold may be set too low.

- Thresholds must be documented in the local RCM and / or process documentation, with rationale clearly stated and approved by local management.

- The precision level and the final threshold are based on a balance of risk, volume of transactions, monetary value and any other qualitative factors.

- The threshold setting tool template is published in InsideWPP. The considerations outlined in the template not exhaustive and illustrate the steps that **could** be considered when determining the appropriate threshold.

- The Control Owner must perform the control on all transactions / line items above the threshold set. Sample review of some transactions / line items above the threshold set is not allowed.

- Thresholds should be evaluated when there are significant changes within the OpCo processes or the population.

KNOWLEDGE CHECK

True or False:

Thresholds should be evaluated when there are significant changes within the OpCo processes or the population.



When setting the threshold, only quantitative factors are taken into consideration



If there are upfront or complementary controls which address the same risk and are operating effectively, Control Owner could potentially increase the threshold for their review.



THANK YOU

WPP